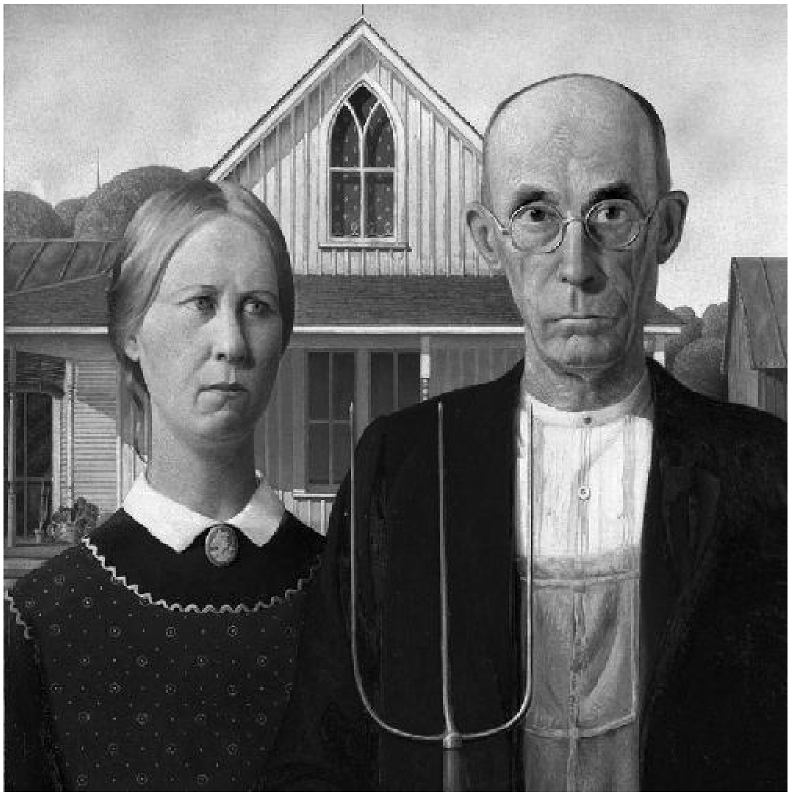
Religion and the economy



Economists have become increasingly interested in the way that social norms and beliefs – including religion – influence countries' economic fortunes. Religious organizations can be viewed as a kind of 'social capital' (see Social capital) – networks and relationships between individuals that may be economically beneficial. On the other hand, religious restrictions, such as those on the participation of women in the labour market, can hinder market expansion. German sociologist and economist Max Weber was one of the first to look at the implications of religious belief for economic performance. He famously argued that Protestantism propelled economic development in Europe by making hard work virtuous. Thrift and profit-making became an article of faith, so Weber argued, and encouraged the rise of capitalism. More recently, economists have tried to explain the rise of certain Asian countries through 'Asian-values' or

Confucianism. At a theoretical level, many of these ideas remain speculative, and empirically disentangling the impacts of religion in different societies is fraught with difficulty.